CHAPTER 10 · DEEP DIVE · A HOUSE DIVIDED

The Panic of 1873

The economic crash that turned the North's attention away from the freedpeople — and helped doom Reconstruction. 1873.

Name: _____ **Period:** _____ **Date:** _____

The economic crash that turned the North's attention away from the freedpeople — and helped doom Reconstruction. 1873.

How can a financial crisis in New York help decide the fate of freedom in the South?

The Bubble Bursts

SEPTEMBER 1873

After the war, the North boomed — especially in railroads, which were built faster than they could ever pay for themselves. It was a bubble. In September 1873, the powerful banking house of Jay Cooke & Company collapsed, and panic swept the markets.

The stock exchange closed for ten days. Thousands of businesses failed, and by the depression's depth, perhaps one in four workers in some cities was unemployed. It was the worst economic crisis the nation had yet seen.

Run on the Banks

NEW YORK, 1873

Crowds rushed to pull their money from banks before they failed. The crisis consumed the North's attention — and its sympathy for distant struggles in the South.

"The Panic — Run on the Fourth National Bank, New York, 1873" — wood engraving, public domain (Library of Congress).

A Nation Turns Inward

THE SHIFT

Here is the connection to Reconstruction. Through the late 1860s, Northern voters had been willing to support federal action to protect freedpeople. But a long, grinding depression changed their priorities.

Worried about jobs, banks, and their own survival, Northerners grew tired of the "Southern question." Protecting Black rights in faraway states felt like an expensive distraction. The political will that had powered Reconstruction began to drain away.

Redemption, 1869–77 — map, © ShadowDog Digital Studios (SDS Digital Collection).

Causes Aren't Always Obvious

WHY IT MATTERS

This is an important lesson about causation. The end of Reconstruction had many causes — terror, court rulings, exhaustion — but one of the biggest was an event that had nothing directly to do with race at all: an economic depression.

In the 1874 elections, Northern voters, angry about the economy, swept Democrats into control of the House. The coalition that had protected freedom was broken — and the clock on Reconstruction began to run out.

Trace an Indirect Cause

YOUR TURN

You'll connect an economic crash to the fate of Reconstruction and practice causation — including how indirect, surprising causes can shape great events.